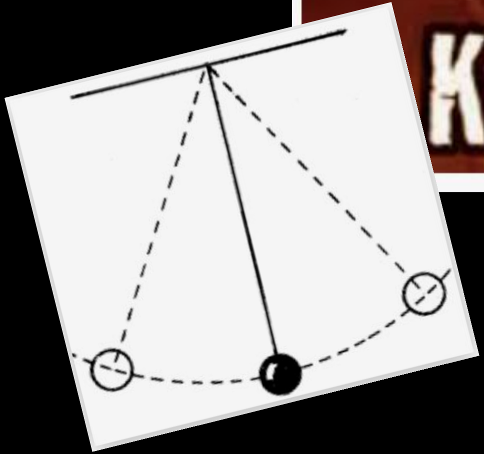
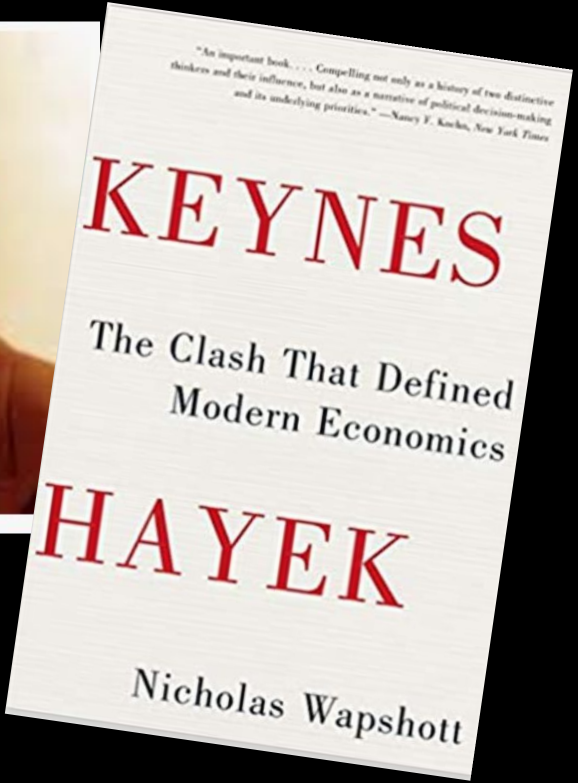
Chapter 12

Unit 3 Exploring Equality

- Modern Liberalism / Mixed Economies
- Modern Free Market Capitalism
- Social Democracy in Sweden and Nordic Nations
- Command Economies

Part A:
Journey to Modern Liberalism



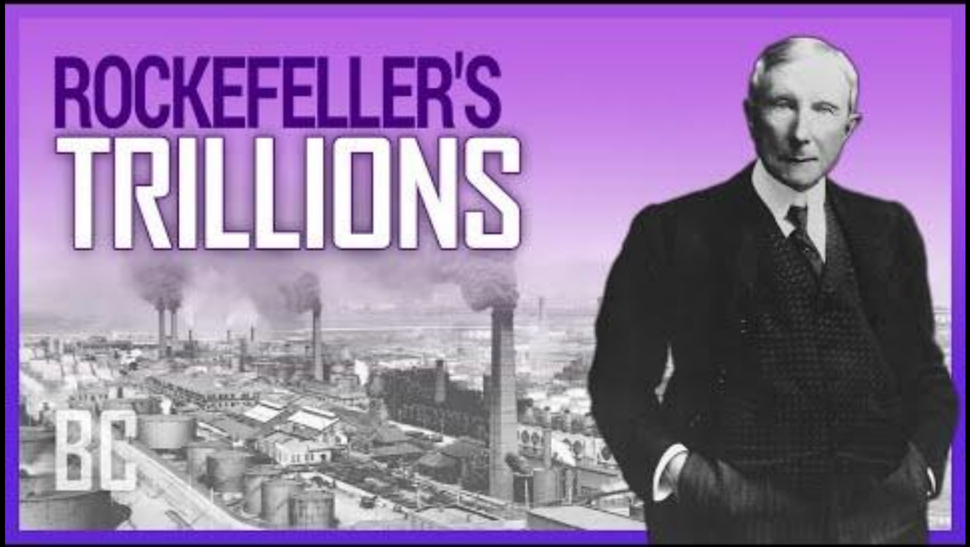


Reminder of where we left at:
A New Age of Industrialists Emerge From the Gilded Age

Who are the Robber Barons and Captains of Industry again?

Let’s back up a bit:

A Case Study of Classical Liberalism - The Standard Oil Company



Any Progressive Movement In the US Economy Ends

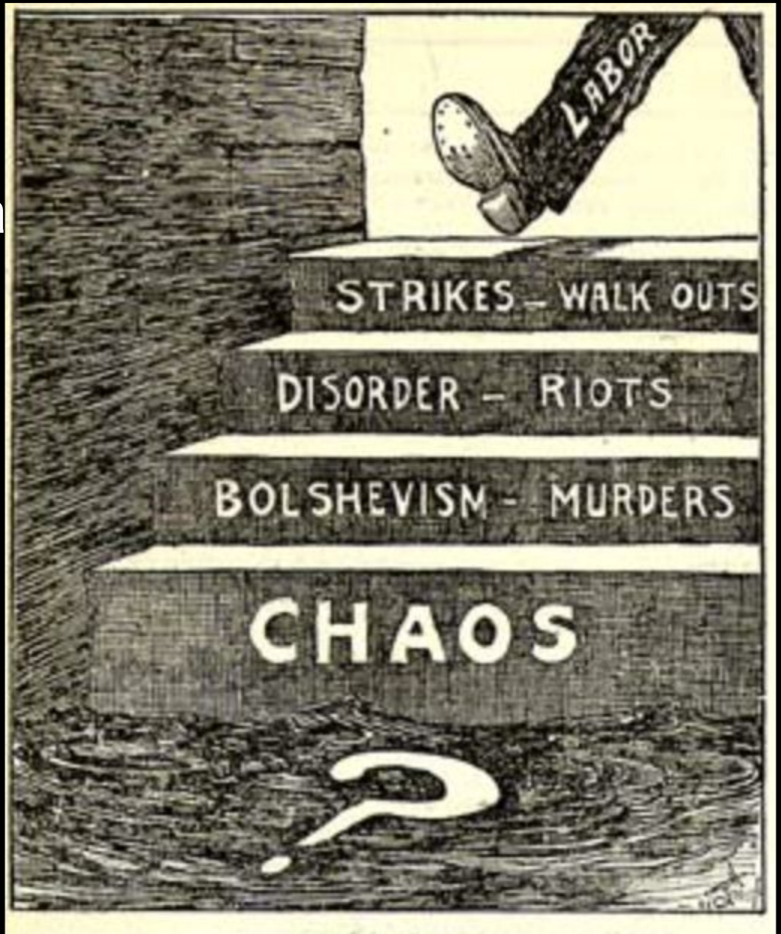
- While Unions and workers and it seems like a move towards more “equality” is on the rise, this era, known as the Progressive Movement fails or stops advancing.

Why?

- Hint - Social 20-1… What was going on in the world in 1917?

- What other major world event (in Russia) happened in 1917?

- The Progressive Movement Ends With The First Red Scare ~1917
- Officially ends in 1920



STEP BY STEP
-- Greene in the New York Evening Telegram

Political Cartoon from New York 1919

The First Red Scare

- The American political climate of the 1920s was prepared by a period known as the “First Red Scare” (1917–1920).
- Red Scare = the colour red being associated with the Bolshevik Red Army of the Russian Revolution.
- The Russian Revolution fuelled public fears of a similar communist uprising in the United States, while inspiring those with leftist political ideologies.
- Several large labour strikes in Seattle, Cleveland, Pittsburgh, and other cities in 1919 and 1920 contributed to the public perception that support for socialism and communism in America was growing.

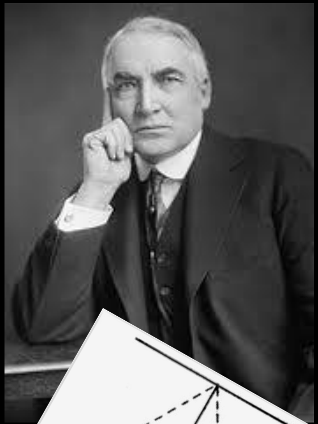
The Red Scare Influenced politics of the 1920s

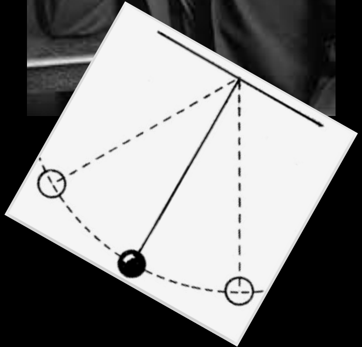
The three central ideas of this platform were:

1. Isolationism—a retreat from involvement in other countries' affairs, especially European countries (rejection of the Treaty of Versailles and League of Nations)

2. Nativism—the promotion of policies that favour the existing dominant culture in a country and reduce immigration

3. A reduction of government involvement in the lives of citizens





A Move Back Towards **Laissez-Faire Capitalist** Ideas

Boom and Bust - Watch for review

https://youtu.be/yZXaeDkGTWk?si=_kGVWpD_hB1DluJj

The Roaring Twenties

- A time of immense growth
- After WW1, factories switched to the production of consumer goods, and the economy continued to grow throughout the decade
- Consumerism increased dramatically over the course of the decade.
- The free market economy allowed for rapid modernization and innovation.

Henry Ford

- A Case Study in 1920's Consumerism - Captain of Industry

THE DETROIT JOURNAL

LAST EDITION

HENRY FORD GIVES $10,000,000 IN 1914 PROFITS TO HIS EMPLOYES

HOUSES SWEPT INTO ATLANTIC BY STORM; CREW OF 32 DROWNS

NATION-WIDE STRIKE IS BEING DISCUSSED BY LABOR LEADERS

DOUBLES PAY OF 25,000 IN AUTO WORKS

Henry Ford - Capitalist
Captain of Industry

- Industrialists such as Henry Ford (founder of Ford Motor Company) helped spur the economic boom by pioneering techniques such as **mass production** (assembly lines and mechanization to produce large volumes of a product at a cheaper price).

- Ford advocated a minimum wage and a 40-hour workweek in his factories.
  - Ford's motivation was financial, however; he reasoned that if his employees were happier, they would work more efficiently.
  - He also believed that paying them better wages would allow them to buy the products they produced, thus increasing sales.

Consumerism

Ford's advancements and others in manufacturing made a variety of products cheaper, and consumer spending — or **consumerism** — increase dramatically **over** the course of the decade.

Top consumer products of the 1920s:

- Radios
- Phonographs
- Vacuum Cleaners
- Washing Machines
- Refrigerators
- Vehicles

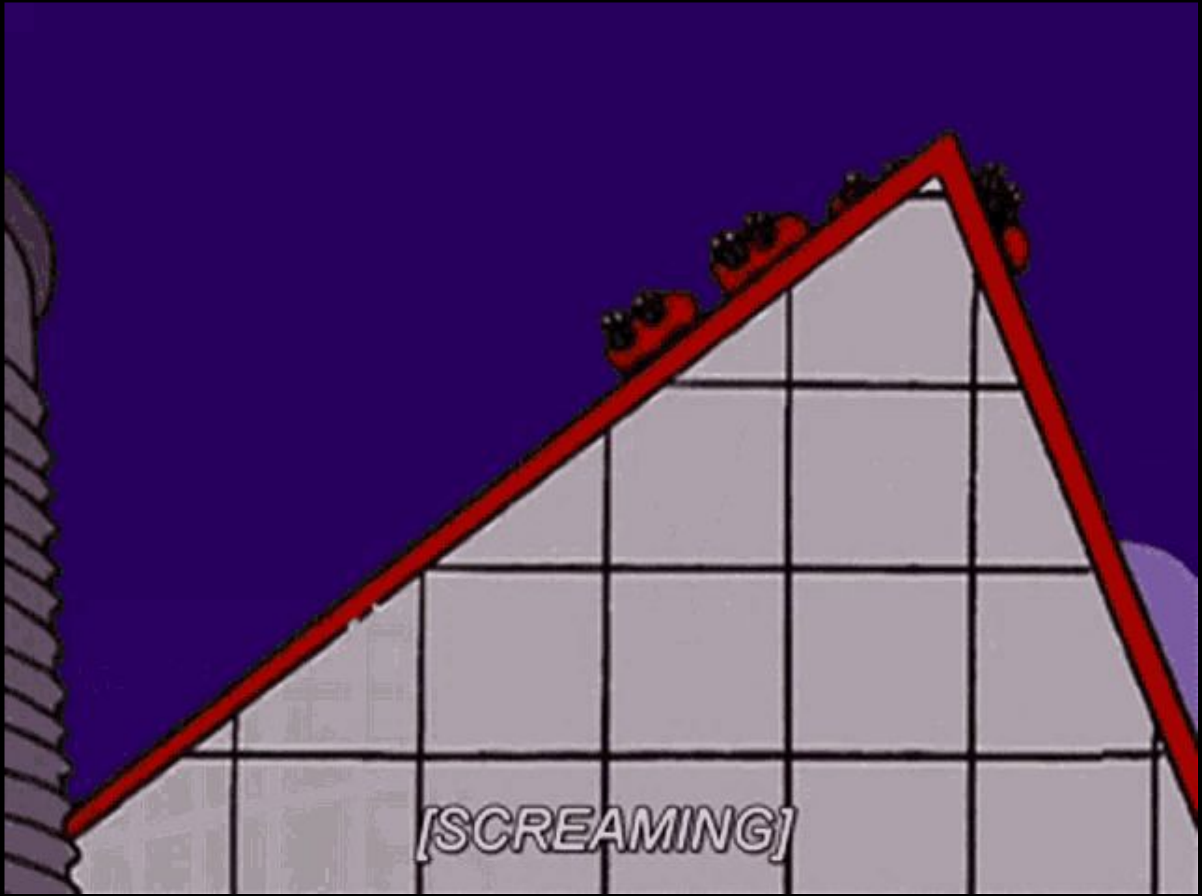
Consumerism led to a boom in new businesses and record profits.

BUT… There were warning signs

Consumerism led to

- Overproduction of goods by producers
  - Despite a boom salaries weren't going up
    - People were **buying on credit** they didn't have the money to pay off their bills.
    - Disparity increased - rich got richer, poor got poorer
- Over valuation of stocks in the stock market
  - Many bought stocks, also on credit

Where there's a boom there's a.....



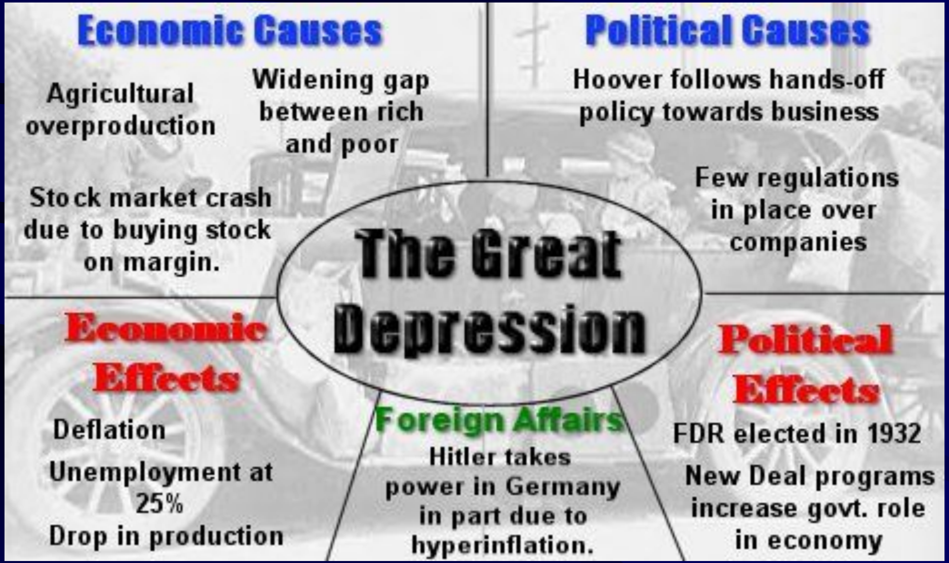
Where there's a boom there's a..... BUST

The Roaring 20's gave way to the Dirty 30's and the Great Depression

What event started this?

Stock Market Crash of 1929

3 Issues that Created and Deepened the Depression



1. The Stock Market Crash

- Prices on the New York Stock Exchange stopped rising in October of 1929.
- People began to sell their stocks to take profits before prices dropped further.
- This led to stock prices dropping further, and more and more investors began selling stocks.

- Panic ensued -- The market crashed.
- By mid-November, the stock prices of the 30 largest publicly owned companies dropped by 48%.

2. The Depression Goes Global! How does this happen?

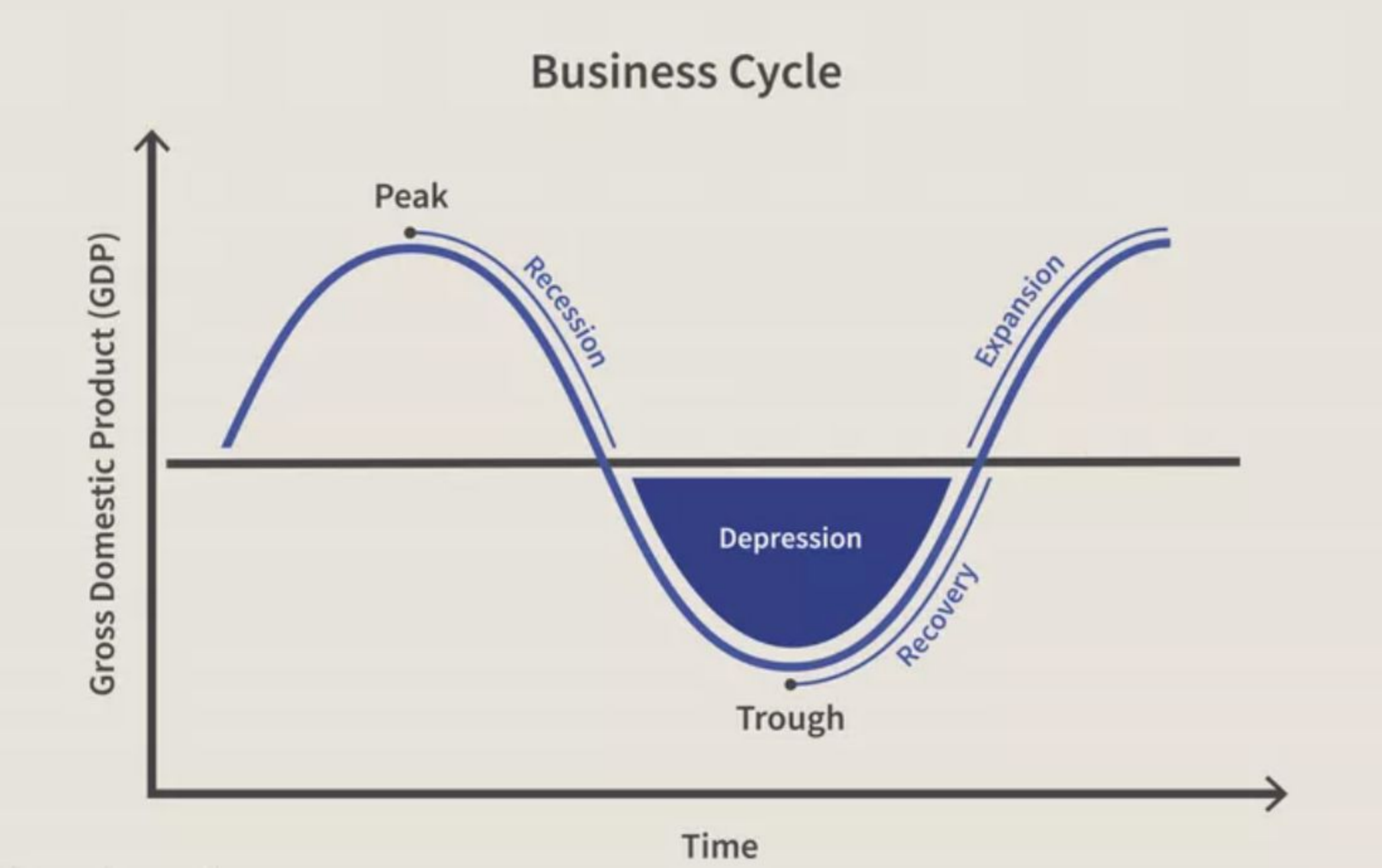
- Globalization of Companies - Many are American. When American corporations start failing, they close their stores in other countries first.
- The US was funding Post World War 1 Europe. They quickly stop loaning money to other nations. Nations in tough financial positions, like Germany, quickly succumb to poor economic times.

- US Republican government (Classical Liberal) raises tariffs to protect US jobs, this will backfire as Europe stops trading to and from (with) the US
  - Slows Economy More
  - More jobs lost

3. Bank Runs

Banks are businesses. They lost money on the stock market and began calling in loans—many who had overextended themselves became bankrupt.

- People feared about what little savings they had in the banks and bank runs became common.
- **Bank runs** are a situation when too many people try to withdraw their savings from a bank causing it to go bankrupt.
- When the banks went bankrupt, so did businesses that had borrowed from them to survive


Business Cycle
Peak
Recession
Expansion
Depression
Recovery
Trough
Gross Domestic Product (GDP)
Time

What is a Recession?

At the height of the Depression in 1933,

- 24.9% of the total work force or 12,830,000 people was unemployed in the United States.
- 30 percent of the labour force was out of work in Canada.

In theory, how should laissez-faire capitalists, people like Adam Smith, respond?

- Laissez-Faire Capitalism felt like a failure by many.
- How can citizens better access equality?

Who Can Help?

Government!
But How?

Enter Government Interventionism

New Philosopher Alert:

John
Maynard
Keynes

John Maynard Keynes

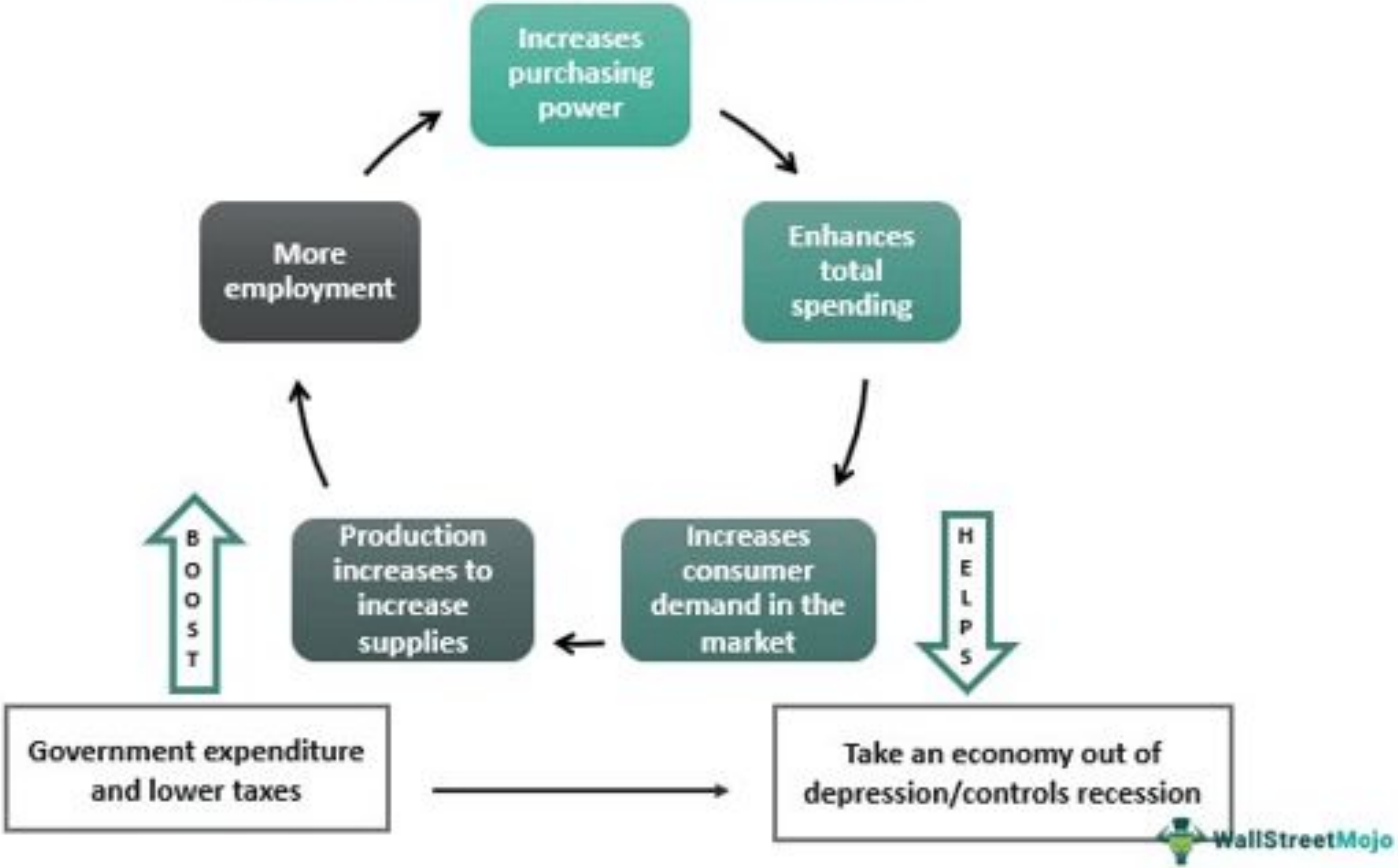
- Modern Liberal Economist (Mixed Economy)

Father of Keynesian Economics

- Believed that **demand** drives supply.
- Governments should increase spending and lower taxes during bad times to create jobs and boost consumer spending.

Advocated for government intervention in the economy

What Is Keynesian Economics?



What is a Recovery?

A Virtuous Cycle

ECRI

Fiscal and Monetary Policy.

Keynes Advocated for both fiscal and monetary policy:

Fiscal - The use of government spending and tax revenue to influence the economy

Monetary - Use of a central bank to control the amount of money supply (or flow) in the economy

Enter Government Interventionism

First, a couple definitions

Fiscal Policy	Monetary Policy
Change in government spending and tax rates	Change in interest rates / money supply.
Set by the Government	Set by a Central bank
No specific target (Indirectly Unemployment rate)	Target inflation
Side effect on government budget / borrowing	Side effect on exchange rate and housing market
Strong political dimension to changing tax rates	Mostly independent from the political process

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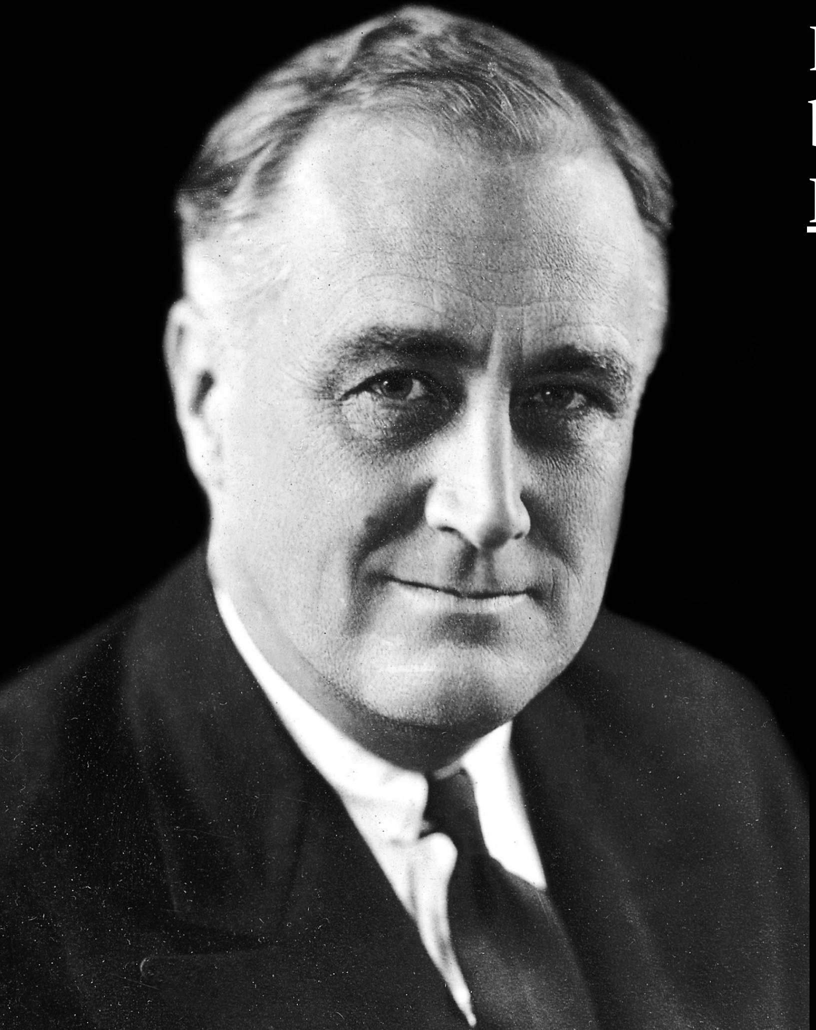
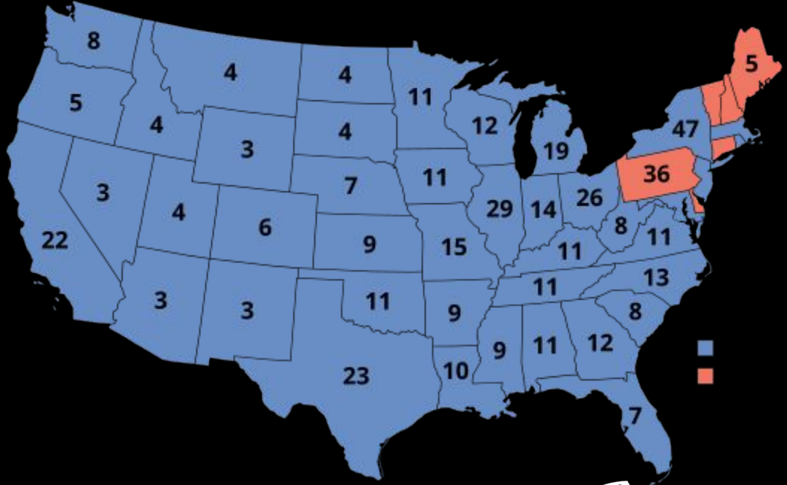
Keynes' Theory was put into practice by the newly elected **Franklin D. Roosevelt** who won by a landslide





FDR and the New Deal - Keynesianism in Practice

"I am certain that my fellow Americans expect that, on my induction into the Presidency, I will address them with a candor and a decision which the present situation of our people impel. This is preeminently the time to speak the truth, the whole truth, frankly and boldly. Nor need we shrink from honestly facing conditions in our country today. This great nation will endure as it has endured, will revive and will prosper. So, first of all, let me assert my firm belief that the only thing we have to fear is fear Itself —nameless, unreasoning, unjustified terror which paralyzes needed efforts to convert retreat into advance. In every dark hour of our national life a leadership of frankness and vigor has met with that understanding and support of the people themselves which is essential to victory. I am convinced that you will again give that support to leadership in these critical days."

~ Franklin D. Roosevelt's Inaugural Address

Roosevelt's First Hundred Days

Franklin D. Roosevelt becomes President in 1933. He quickly begins his programs to combat the Great Depression. This is called "The New Deal" Many programs were implemented with the help of industry based upon the 3 R's:

- Relief (Meet needs of hungry and jobless);
- Recovery (Help agriculture and industry);
- Reforms (Change the American Economy)
  - "Alphabet Agencies" of programs – e.g. CCC, AAA, TVA, NWA, PWA, FDIC, creating programs in agriculture, and public works. Sometimes called the alphabet soup.
  - Rooted in Keynesian Economics - to stimulate the economy

Example of an Alphabet Agency

<u>Tennessee Valley Authority (TVA)</u>

- ❏ Experiment in infrastructural development that began in 1933, huge success
- ❏ Hired thousands of people in Appalachia, the nation's poorest regions
- ❏ Build dams, electric power plants to "electrify" a region without power
- ❏ Operates as a government owned utility company - still in existence today.

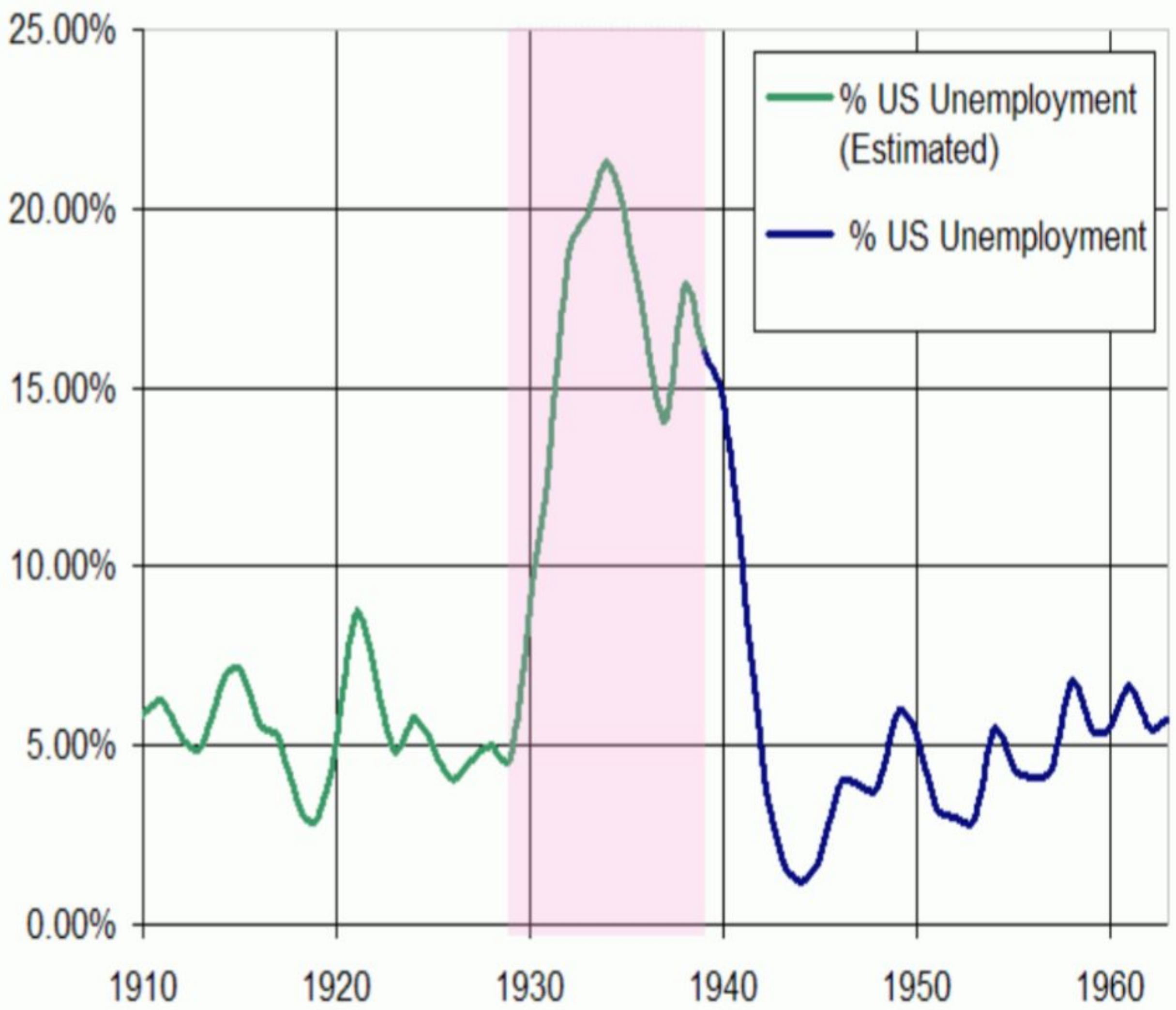
Does This Government Intervention Work?
Some positive numbers:

- 1933-37, GDP grew by 10% annually
- Unemployment dropped from **25%** to 14%

Classical Liberal (Republican) Criticism of the New Deal

- Argued the New Deal led to TOO MUCH government
- National debt doubled in 7 years.
- Former President Hoover: "Philosophy of handouts undermined virtues of initiative."
- Never achieved "full employment" Full Employment is considered an unemployment rate of 5%.
  - What event is going to take the US to full employment?

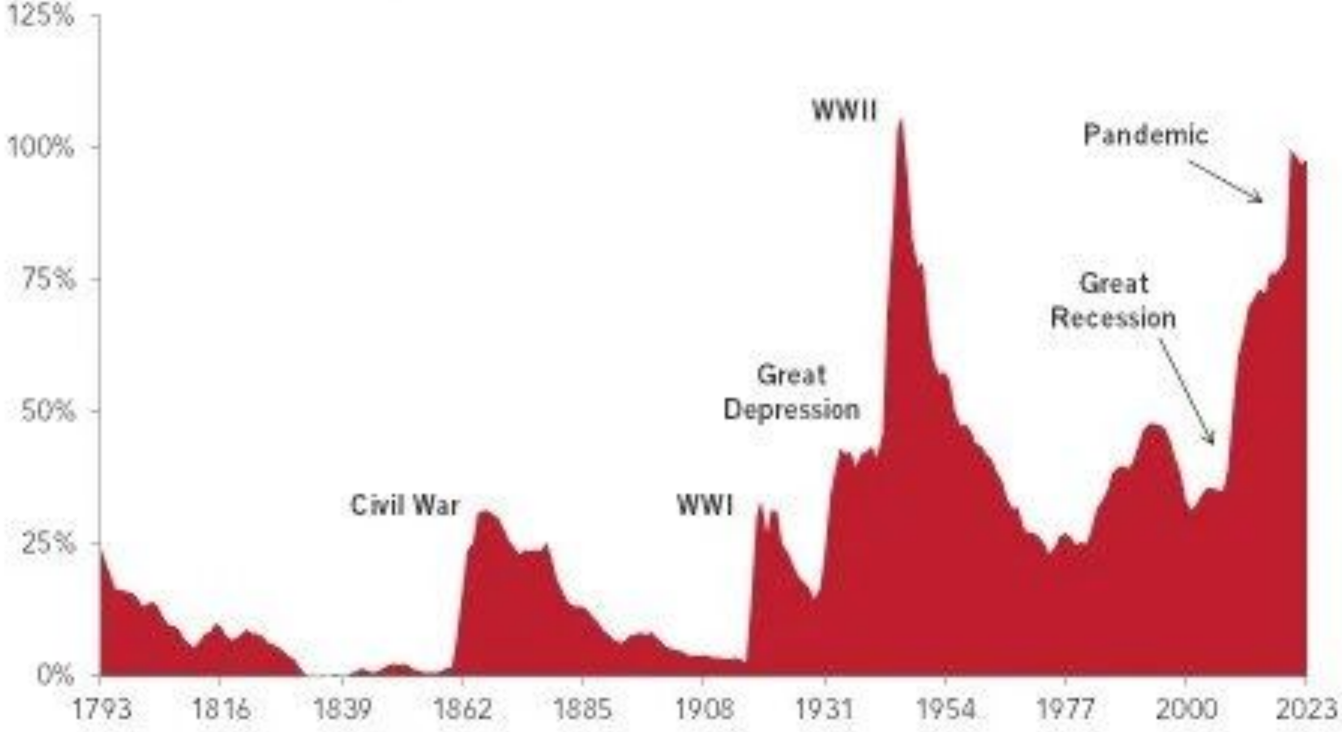
Year	Lebergott	Darby
1933	24.9	20.6
1934	21.7	16.0
1935	20.1	14.2
1936	16.9	9.9
1937	14.3	9.1
1938	19.0	12.5
1939	17.2	11.3
1940	14.6	9.5
1941	9.9	8.0
1942	4.7	4.7
1943	1.9	1.9
1944	1.2	1.2
1945	1.9	1.9



PETER G. PETERSON FOUNDATION

Debt rises and falls with wars and changes in the economy. Debt is currently at its highest level since WWII

Debt Held by the Public (% of GDP)



SOURCES: Congressional Budget Office, *The Budget and Economic Outlook: 2023 to 2033*, February 2023; and *The Budget and Economic Outlook: 2020 to 2030*, January 2020.

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Embracing Modern Liberalism

- New Dealers felt that government has a responsibility to soften the jagged edges of the market cycles while still preserserving essential freedoms required in the market.

- The meaning of "people who matter" broadened. The New Deal showed an understanding that liberal principles apply to more than the rights and freedom of industrialists; that they also apply to the average citizen who needs protection from the vagaries of the market. This is what we mean by the shift from classical liberalism to modern liberalism

The Post-War Consensus

- A period in politics from the end of WW2 (1945) until the middle of the 1970s.

- Consensus in this context means that mostly both liberal and conservative politicians felt that Keynesian economics was the way to go.

  - Most major nations around the world moved towards mixed economies

Postwar Consensus
The Mixed Economy is born

The Mixed Economy is:

- where free-market principles are combined with some degree of government intervention.

Postwar Consensus
The Mixed Economy is born

- Saw the development of "social safety net" programs such as:
  - Employment insurance
  - Assistance for the elderly
  - Child care
  - Universal health care
- Canada begins Progressive Taxation in 1948

Post-War Consensus is also known as:

The Golden Age of Capitalism

1950-1973

US GDP growth rate average in that period:

- 4% average in 1950s
- 5% average in 1960s
- 3% average in 1970s

The end of this economic era in 1973 signals the beginning of the end of the consensus that Keynesian economics was the best way to go.

Summary of Mixed Economies

Some Perceived Advantages	Some Perceived Disadvantages
• The economy is more stable than a free-market economy and the government can step in to lessen the effects of an economic crisis. • The basic needs of people are met. • Incentive, profit motive, personal wealth, private ownership, and personal choice are still evident. • The goals of the society can be more easily met (for example, promoting the growth of agriculture or industry through subsidies).	• Higher taxation than in a free-market economy to pay for an increased level of services provided by the government. • More government regulation and less personal freedom than in a free-market economy. • Government-owned or subsidized companies may have an unfair advantage over private companies. • More reliance on the government for social assistance.